

The Coca-Cola Company

2Q24 Earnings Prep

We are below the Street for 2Q top line and largely in-line on profitability.

With KO shares trading at ~23x CY24E EPS, investors seem to appreciate, to some degree, the good visibility into a solid top-line trajectory - but we would argue the gap between KO and other best-in-class peers has room to narrow further. We are comfortably anchored to the high end of both KO's top and bottom line guidance (+9% and +5%, respectively) and also continue to look the longer-term opportunity ahead for KO vis a vis global category development.

Current Consensus Expectations

---- 2Q24 ----

- 2Q24 EPS: \$0.81 [\$0.78-\$0.82 range, Barclays = \$0.80]
- 2Q24 sales growth: -1.7% [-3.1% to +3.5% range, Barclays = -2.6%, +9.1% organic]

---- 2024 ----

- 2024 EPS: \$2.82 [\$2.72-\$2.85 range, Barclays = \$2.82]
- 2024 sales growth: -0.1% [-1.6% to +4.2% range, Barclays = -0.5%, +9.1% organic]

---- 2025 ----

- 2025 EPS: \$3.01 [\$2.95-\$3.09 range, Barclays = \$2.99]
- 2025 sales growth: +4.9% [Barclays = +4.8%, +6.1% organic]

Source: Consensus figures from Bloomberg

Our Thoughts

We expect continued solid results from KO – and although we don't necessarily expect a guidance raise at the 2Q print given the degree of uncertainty that persists around the consumer backdrop and various geopolitical considerations, we view it as comfortably positioned at the high end of its guidance for the year. And yet, KO largely tracked similarly to Large-Cap Staples following the 1Q print, struggling to garner any meaningful outperformance to the broader group (KO +5.4% vs. XLP +4.1%). Despite our reiterated view that KO boasts a sturdy setup amidst a still-dynamic macro backdrop, investor interest in the name remains somewhat muted – albeit KOL has outperformed PEP more recently (-3.7% since late April) as the latter is weighed down by FLNA concerns. Still, we would argue that the quality of the fundamental picture here is supportive of relative valuation more in line with other best-in-class CPG peers (e.g. PG) and reiterate our Overweight rating.

In 2Q, we look for total company organic sales growth of +9.1%, with a skew towards price/mix (+7.6%) over concentrate (+1.6%). Of note, we raised our price/mix forecasts last week for Latin America, EMEA and North America to reflect a less drastic deceleration QoQ than we had

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| CORE

KO	OVERWEIGHT
U.S. CHPC & Beverages	NEUTRAL
Price Target	USD 69.00
Price (17-Jul-24)	USD 65.21
Potential Upside/Downside	+5.8%

U.S. CHPC & Beverages

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previously modelled. We forecast unit case volume growth in line with concentrate sales growth at +1.6%. We also increased our currency headwind assumption last week by 30 bps to -6.3% (vs. KO's guide for a ~6-point headwind this quarter), which, along with a -5.5% structural headwind (vs. KO's ~5-6% headwind guidance), translates to -4.6% net sales growth. Our gross margin forecast is up ~+130 bps YoY, reflecting underlying growth of ~40 bps along with a +140 bps structural benefit from refranchising, partially offset by -50 bps headwind tied to currency. Estimated SG&A at 28.3% of sales yields a 32.3% operating margin for the period and a 2Q EPS estimate of \$0.80.

What Matters Most To Us

- 2024 guidance (including the latest on FX) and KO's conviction behind that outlook
- Perspective on recent volume trends and KO's efforts to support steady growth
- Progress on US focus areas

Guidance Recap

---- 2Q24 ----

- Currency: 6% headwind to revenues; 8-9% headwind to EPS (based on rates as of April and inclusive of hedged positions)
- Structural: 5-6% headwind to comparable net revenues; 2% headwind to EPS

---- 2024 ----

- Organic revenue growth: +8-9%
- EPS growth: +4-5% (currency neutral +8-10%)
- Currency: 4-5% headwind to revenues and 7-8% headwind to earnings (both including the impact of hedged positions)
- Structural: 4-5% headwind to comparable net revenues; 2% headwind to EPS
- Inflation: more normalized levels of inflation (historical run-rate ~LSD)
- Tax rate: ~19.0%, not including any impact of ongoing tax litigation
- FCF: \$9.2 billion, not including any potential payments related to ongoing tax litigation
- OCF: \$11.4 billion
- Capex: \$2.2 billion

---- Long-Term Guidance ----

- Organic revenue growth +4-6%
- Comparable, FX-neutral operating income growth 6% to 8%
- Comparable, FX-neutral EPS growth +7-9%
- Adjusted free cash flow conversion 90% to 95%
- CapEx at 4.5% to 5% of net revenue
- Target of 2 to 2.5x net debt leverage

KO 2Q24 Earnings Call Details

Tuesday, July 23rd @ 8:30 a.m. ET - US: 888-415-4465; International: 646-960-0140; Passcode: 6819315

As always, please feel free to call with any questions or comments.

Best,

Lauren

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The Coca-Cola Company (KO, 17-Jul-2024, USD 65.21), Overweight/Neutral, A/CD/CE/D/E/J/K/L/M/N

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Constellation Brands (STZ)	Coty Inc. (COTY)	Duckhorn Portfolio Inc (NAPA)

Edgewell Personal Care Company (EPC)	Energizer Holdings, Inc (ENR)	International Flavors & Fragrances (IFF)
Keurig Dr Pepper (KDP)	Kimberly-Clark Corp. (KMB)	Molson Coors Beverage Company (TAP)
Newell Brands Inc. (NWL)	ODDITY Tech Ltd. (ODD)	Olaplex Holdings, Inc. (OLPX)
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The Coca-Cola Company (KO)	The Estée Lauder Companies (EL)	

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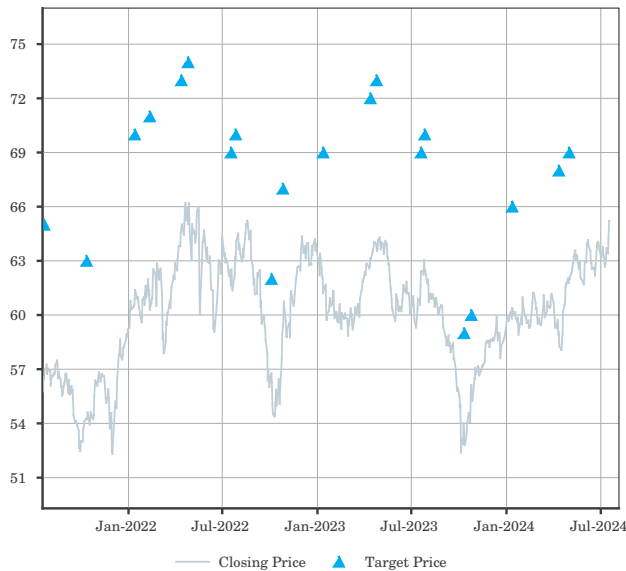
Stock Rating: **OVERWEIGHT**

Industry View: **NEUTRAL**

Closing Price: **USD 65.21** (17-Jul-2024)

Rating and Price Target Chart - USD (as of 17-Jul-2024)

Currency=USD



Source: IDC, Barclays Research

[Link to Barclays Live for interactive charting](#)

Publication Date	Closing Price*	Rating	Adjusted Price Target
01-May-2024	61.77		69.00
11-Apr-2024	59.72		68.00
12-Jan-2024	59.81		66.00
25-Oct-2023	55.64		60.00
11-Oct-2023	54.03		59.00
27-Jul-2023	63.05		70.00
20-Jul-2023	61.64		69.00
25-Apr-2023	63.95		73.00
13-Apr-2023	62.69		72.00
12-Jan-2023	61.21		69.00
26-Oct-2022	58.95		67.00
04-Oct-2022	56.78		62.00
27-Jul-2022	63.21		70.00
18-Jul-2022	61.65		69.00
26-Apr-2022	65.94		74.00
13-Apr-2022	64.73		73.00
11-Feb-2022	61.38		71.00
13-Jan-2022	60.90		70.00
12-Oct-2021	54.23		63.00

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Source: Bloomberg, Barclays Research

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